



Republic of the Philippines  
City of Cagayan de Oro  
**OFFICE OF THE  
CITY BUDGET OFFICER**



**1<sup>st</sup> Endorsement  
August 20, 2026**

Respectfully forwarded to the **Honorable Members of Sangguniang Panlungsod**, this City, through **MR. ARTURO S. DE SAN MIGUEL**, City Secretary, the herein copy of **Annual Budget CY 2026 of Barangay 20**, Cagayan de Oro City, involving total appropriations of P3,688,346.00 under Appropriation Ordinance No. 01-2026 Series of 2026, which is favorably recommended for approval having been found to be in order and having substantially complied with the basic requirements of the relevant provisions of Republic Act No. 7160, otherwise known as the Local Government Code, and its Implementing Rules and Regulations (IRR), subject to the following conditions:

1. That disbursement of appropriation for Honoraria shall be made in accordance with the Department of the Budget and Management (DBM) Local Budget Circular (LBC) No. 92 dated September 15, 2009.
2. That utilization of corresponding mandatory obligations/automatic appropriations shall be made in accordance with the pertinent provisions of RA 7160, and its IRR, viz:
  - a. 5% BDRRMF (Calamity Fund) – Section 234 (d) of (RA 7160) and National Disaster Risk Reduction and Management Council (NDRRMC), Department of the Interior and Local Government (DILG), and DBM Joint Memorandum Circular (JMC) No. 2013-1 dated March 25, 2013.
  - b. 10% SK Fund - Section 239 of RA 7160 and RA 10742 (SK Reform Act), as amended by RA 11768, and DBM, DILG and National Youth Commission (NYC) JMC No. 1 Series of 2025 dated May 23, 2025.
  - c. 20% Development Fund – Section 287 of RA 7160 and DBM, DILG Department of Finance (DOF) JMC No. 1 dated November 4, 2020.
3. That in all cases, disbursements on items of appropriation covered in this Annual Budget shall be subject to availability of funds and to all accounting and auditing rules and regulations.

It is understood that this review does not authorize any item of appropriation that is specifically prohibited by or inconsistent with the provisions of law. Further, compliance to all existing laws, administrative rules and regulations shall be the responsibility of the implementing barangay, subject to the posting requirement under Section 59 of RA 7160.

**ATTY. PERCY G. SALAZAR**  
City Budget Officer